

BRIEFING NOTE • UPDATED OCTOBER 2026

China in 2026

Progress, vulnerabilities, relations with the United States and the monetary dimension

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Data as of 3 October 2026



Five steps to understanding China today

01

China's progress

Economy, technology, environment, society and culture

02

US-China relations

From trade war to the Washington truce

03

The case for partnership

What each side gains, and the limits

04

The monetary dimension

Yuan, de-dollarisation, e-CNY

05

Areas for further analysis

Nine dimensions for a complete picture

Steady growth, moving up the value chain

+5.0%

GDP growth in 2025

Official target met

≈ ¥140 tn

GDP in 2025 (≈ \$19.7 tn)

Up from ¥115 tn in 2021

20 · 109

Indicators and major projects

in the 15th Five-Year Plan (2026-30)

Growth drivers in 2025: services and advanced manufacturing; consumption and investment recovered unevenly.

15th Plan priority: rebalance towards household consumption, innovation and the low-carbon transition.

Long view: Beijing says China has contributed over 30% of global growth each year for a decade.

Reading note: these are official Chinese figures. Some series are revised or suspended (e.g. youth unemployment in 2023); cross-check with independent sources.

From catching up to leading in innovation

34th → 10th

Global Innovation Index, 2012 → 2025

5 m+

valid domestic invention patents, a world first



Artificial intelligence

DeepSeek and Seedance models



Humanoid robotics

Showcased at the 2026 Spring Festival Gala



Electric vehicles and batteries

World's largest producer

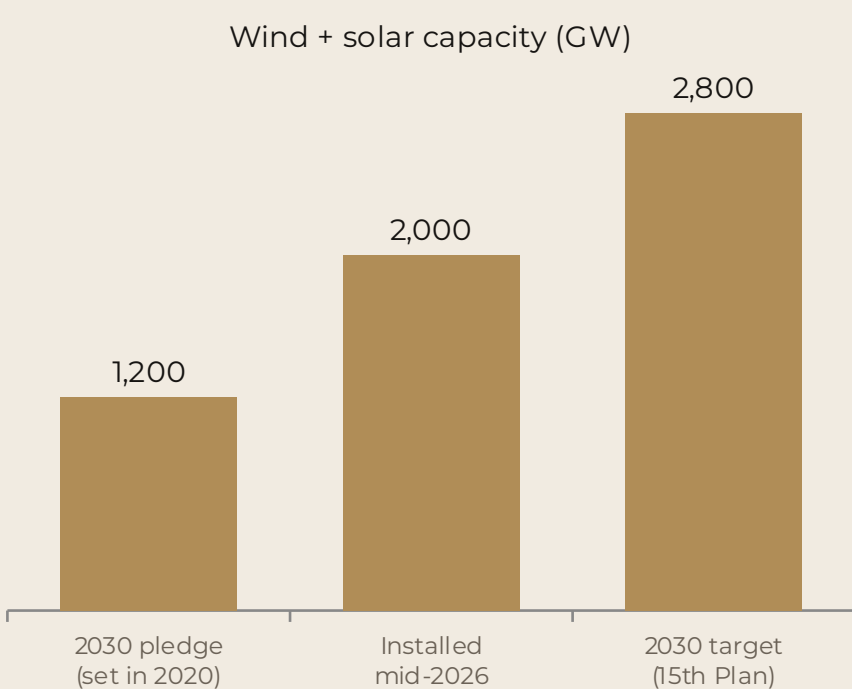


5G and space

Among the global leaders

Weak spot: semiconductors. The 70% chip self-sufficiency target of Made in China 2025, missed by about 50 points, has been dropped from the 15th Plan and replaced by a digital-economy metric (12.5% of GDP by 2030).

Green leader, still reliant on coal



1,200 GW pledge met six years early; $\approx$ 2,000 GW by mid-2026.



July 2026: solar capacity (1,286 GW) overtakes coal (1,285 GW).



2025: clean-energy industries drove over 90% of investment growth.



Over 25% of wind and solar output curtailed in H1 2026: generated but not absorbed by the grid, for lack of lines and storage.



CO₂ +2% in Q1 2026, though still below the early-2024 peak.

Real social gains, structural challenges



Progress

- Extreme poverty officially eliminated (2021)
- Urbanisation close to 68%
- Near-universal health and pension coverage
- Record domestic tourism: 596 m trips over the 2026 Spring Festival
- Cultural reach: video games, film, Douyin/TikTok



Challenges

- Population fell again in 2025; rapid ageing
- High youth unemployment
- Property crisis weighing on household wealth
- Social benefits still modest
- Soft power limited by censorship and political control

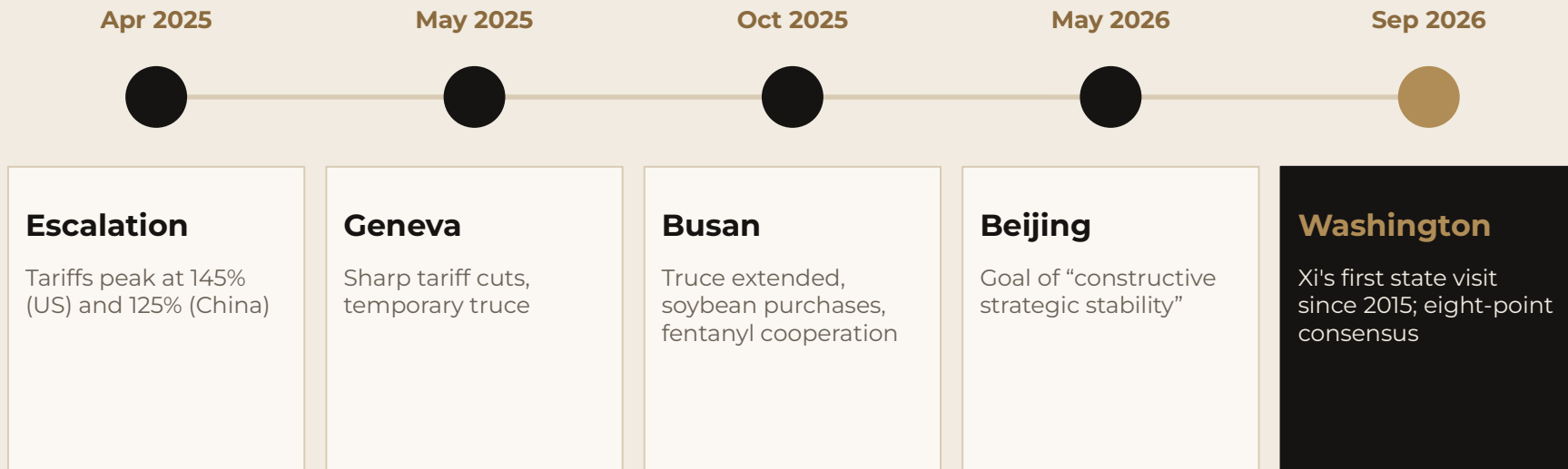
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US-China relations

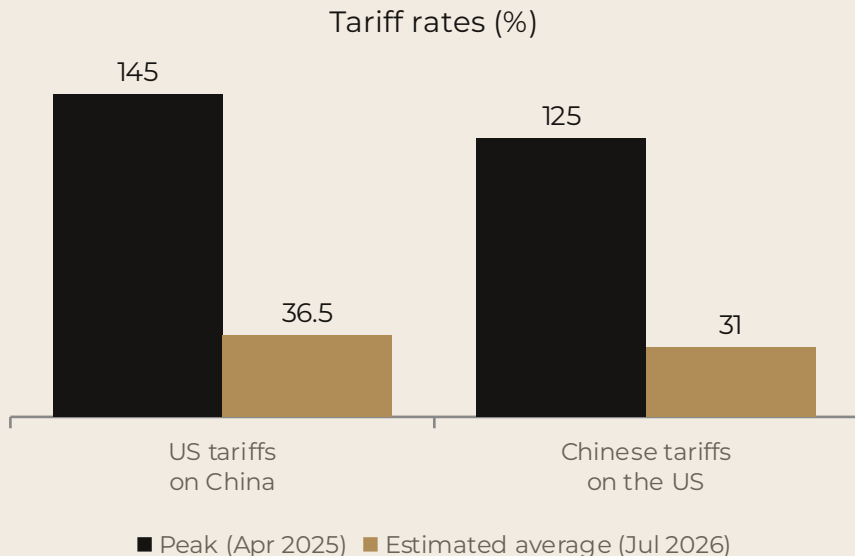
A trade truce extended to January 2027, still under strain

From escalation to truce: eighteen decisive months



What next? Truce extended to 10 January 2027. Trump and Xi are due to meet at APEC in Shenzhen (November) and at the G20 in Florida (December).

The Washington summit: a partial thaw



Method: peak = headline rates announced in April 2025; July 2026 = average rates estimated by the Congressional Research Service. The two are not strictly comparable.

What the deal includes (25-26 Sep 2026)

- A new Board of Trade to agree tariff cuts on about \$30 bn of “non-sensitive” goods each way
- China cuts: farm goods, seafood, wood, cosmetics, medical devices (soybeans excluded)
- US cuts: small appliances, toys, holiday decorations, child car seats
- Truce extended to 10 Jan 2027; AI safety dialogue launched
- Chinese purchases: ≥ 10 Mt of US coal a year in 2027-28; $\geq$ \$17 bn of farm goods a year in 2026-28

Legal basis: since the Supreme Court struck down IEEPA tariffs (20 Feb 2026), US duties rest on Sections 301 and 232. No date yet for the cuts: legal review pending (USTR, 1 Oct).

Four persistent fault lines



Taiwan

Xi calls it “the most important” issue and warns of a “very dangerous situation” if mishandled.



Iran

Washington wants Beijing to mediate; in August 2026 Trump threatened sanctions over China's economic ties with Tehran.



Technology

Semiconductors, export controls, rare earths and AI remain outside the scope of compromise.



US politics

A deeply sceptical Congress keeps legislating against Beijing; White House policy is seen as unpredictable.

Experts are split: some argue Beijing has gained the upper hand; others say US unpredictability rules out genuine stabilisation.

Shared interests, within clear limits



United States

- Lower consumer prices
- Outlets for farm and energy exports
- Access to rare earths
- Leverage on Iran and fentanyl



China

- Access to the world's largest consumer market
- Breathing space on tech controls
- Lower sanctions risk
- Stability to deliver the 15th Plan



The world

- Less volatility in markets, FX and commodities
- AI governance
- Military channels to avoid incidents
- Climate: the two largest emitters

Limit: a transactional arrangement, not a strategic partnership. Both sides keep reducing their dependence on each other (de-risking).

04



The monetary dimension

Yuan internationalisation, de-dollarisation and the digital yuan

Yuan internationalisation: real gains, now stalling

28%

of China's goods trade
settled in yuan

H1 2025, up from 11% in 2017

2.75%

of global SWIFT
payments

6th currency; peak 4.7% in
July 2024

8.5%

of global FX transactions

Mid-2025, up from 2% in 2013

89%

for the US dollar in FX
transactions

Up from 87%: the dollar still
dominates

Payment rails: CIPS, China's cross-border interbank system, cleared about ¥770 bn a day in mid-2024, against ¥3.3 tn for Hong Kong's CHATS. It reduces reliance on SWIFT for yuan payments but remains a fraction of dollar flows.

Tools: central bank swap lines, yuan settlement with Russia, Gulf states and Brazil, offshore yuan (CNH) hubs.

PIIE's verdict: the yuan's rise has lost momentum since 2024; internationalisation looks more like a contingency plan than a challenge to the dollar.

De-dollarisation: fewer Treasuries, more gold



Lowest since August 2008. The sell-down accelerated after Western sanctions froze Russian reserves in 2022.

2,387 t

PBoC official gold holdings

End-August 2026

22

consecutive months of buying

Since November 2024

20.2 t

bought in August 2026

Largest monthly purchase since Oct 2023

9%

gold share of reserves

Up from 8% in July 2026

Caveat: part of China's holdings may sit with custodians in Belgium or Luxembourg, so the headline figure may understate its dollar exposure.

The e-CNY: from pilot to infrastructure



Interest-bearing since 1 January 2026

Wallets now earn interest and are treated as bank deposits, covered by deposit insurance up to ¥500,000.



Domestic adoption, end-2025

230 m personal and 19 m corporate wallets; 3.57 bn cumulative transactions worth ¥19.5 tn.



mBridge, cross-border

Multi-central-bank platform: 4,047 transactions worth ¥387 bn by November 2025, 95% of them in e-CNY. Now part of the 15th Plan.



What it means for business partners

- Yuan invoicing can cut conversion costs on China-facing trade
- CIPS and mBridge create routes outside the dollar system
- Sanctions compliance risk rises: Western authorities watch these channels closely
- Hedge CNY/CNH exposure: the Fed's 16 Sep hike (3.75-4.00%) widens the rate gap with China; capital controls remain
- Watch the 15th Plan: cross-border e-CNY and mBridge pilots are set to expand

Nine dimensions for a complete picture



Political system

Party role, centralisation, planning



Human rights

Xinjiang, Hong Kong, surveillance



Regional security

Taiwan, South China Sea, Japan, India



China and the world

Belt and Road, BRICS, Russia



Europe and France

EVs, cognac, strategic autonomy



Economic fragilities

Property, local debt, deflation



Key resources

Rare earths, water, energy



Capital account

Capital controls, FX regime



Data reliability

Opacity, alternative indicators

KEY TAKEAWAYS

A leading power, a fragile stability

1

Technological and industrial power

Leads the energy transition in installed capacity; at the forefront of AI, EVs and batteries.

2

Structural fragilities

Weak domestic demand, demographics, local debt, property, grid integration of renewables.

3

US-China relations

Truce extended to January 2027 and a \$30 bn deal, but Taiwan, Iran and technology remain unresolved.

4

Monetary strategy

Hedging against the dollar through gold, CIPS and the e-CNY, without yet challenging it.

Next milestone: APEC summit, Shenzhen, November 2026; truce deadline 10 January 2027.

Main sources

- National Bureau of Statistics of China, press release (19 Jan 2026)
- China Briefing (Dezan Shira): 2025 economy; US-China timeline
- PRC Ministry of Foreign Affairs; PRC Embassy in the United States
- Carbon Brief: renewables plan; CO₂ in early 2026
- CREA: China Energy and Emissions Trends (2026)
- National Energy Administration via Canary Media (Sep 2026)
- Congressional Research Service: China Primer (Aug 2026)
- CNBC, Axios: Washington summit (21-26 Sep 2026)
- East Asia Forum (20 Sep 2026); CSIS ChinaPower (2026)
- Peterson Institute (PIIE): yuan internationalisation (2026)
- US Treasury TIC data via Axios (18 Sep 2026)
- World Gold Council: China gold market update (Sep 2026)
- Caixin Global: digital yuan overhaul (19 Jan 2026)
- USTR via SCMP (1 Oct 2026); Global Trade Alert (Feb 2026)

Method: official Chinese data should be cross-checked with independent sources (MERICS, Rhodium Group, CREA). Figures as reported on 27 September 2026, trade updates to 3 October 2026.